



## Ch 5 Relevant Information for Decision Making with a Focus on Pricing Decisions

Accounting For Managers (ESLSCA Business School Paris (Egypt))



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***Introduction to Management Accounting, 16e, Global Edition***  
**(Horngren)**  
**Chapter 5 Relevant Information for Decision Making with a Focus on Pricing Decisions**

5.1 Questions

1) Historical or past information has no \_\_\_\_\_ bearing on a decision made by management. Historical or past information can have a(n) \_\_\_\_\_ bearing on a decision made by management.

- A) indirect; direct
- B) direct; indirect
- C) measurable; material
- D) material; significant

Answer: B

Diff: 1

LO: 5-1

AACSB: Reflective thinking skills

Learning Outcome: Distinguish between relevant and irrelevant costs

2) Relevant information refers to \_\_\_\_\_ that will differ among the alternative courses of action.

- A) future costs only
- B) future revenues only
- C) past costs and revenues
- D) future costs and revenues

Answer: D

Diff: 1

LO: 5-1

AACSB: Reflective thinking skills

Learning Outcome: Distinguish between relevant and irrelevant costs

3) Historical or past information can have an indirect bearing on a manager's decision because \_\_\_\_\_.

- A) the past decision resulted in a favorable outcome
- B) it can help predict the future
- C) the past decision resulted in a bonus for the manager
- D) the manager wants to repeat the past decisions made some of the time

Answer: B

Diff: 1

LO: 5-1

AACSB: Reflective thinking skills

Learning Outcome: Distinguish between relevant and irrelevant costs

4) When managers make decisions, the accountant's primary role is \_\_\_\_\_.

- A) making the decision
- B) providing information that may be useful to the manager
- C) uncertain because it depends on the decision being made
- D) uncertain because it depends on the manager

Answer: B

Diff: 1

LO: 5-1

AACSB: Reflective thinking skills

Learning Outcome: Distinguish between relevant and irrelevant costs

5) Information is relevant in business decisions if it is a(n) \_\_\_\_\_.

- A) expected future revenue or it differs among alternatives
- B) expected future revenue and it differs among alternatives
- C) past revenue and it differs among alternatives
- D) expected future revenue that differs from past revenue

Answer: B

Diff: 1

LO: 5-1

AACSB: Reflective thinking skills

Learning Outcome: Distinguish between relevant and irrelevant costs

6) Cantrall Company is trying to decide which product to manufacture. Expected direct materials costs are \$4.00 per unit for each product. The expected direct labor costs are \$2.00 per unit for one product and \$4.00 per unit for another product. In choosing between the two products, the direct materials costs are \_\_\_\_\_ and the direct labor costs are \_\_\_\_\_.

- A) relevant; irrelevant
- B) irrelevant; relevant
- C) relevant; relevant
- D) irrelevant; irrelevant

Answer: B

Diff: 2

LO: 5-1

AACSB: Analytic skills

Learning Outcome: Distinguish between relevant and irrelevant costs

7) A company is trying to decide which product to manufacture. The following information is available:

| Costs              | Product A       | Product B       |
|--------------------|-----------------|-----------------|
| Direct Materials 1 | \$2.00 per unit | \$2.20 per unit |
| Direct Materials 2 | \$1.25 per unit | \$1.50 per unit |
| Direct Materials 3 | \$0.50 per unit | \$0.80 per unit |
| Direct Labor       | \$0.70 per unit | \$0.70 per unit |

Which product cost is irrelevant to the decision?

- A) Direct Materials 1
- B) Direct Materials 2
- C) Direct Materials 3
- D) Direct Labor

Answer: D

Diff: 2

LO: 5-1

AACSB: Analytic skills

Learning Outcome: Distinguish between relevant and irrelevant costs

8) Relevant information is the historical costs and revenues that differ due to alternative courses of action.

Answer: FALSE

Diff: 2

LO: 5-1

AACSB: Reflective thinking skills

Learning Outcome: Distinguish between relevant and irrelevant costs

9) Historical data may have a direct bearing on a decision made today.

Answer: FALSE

Diff: 2

LO: 5-1

AACSB: Reflective thinking skills

Learning Outcome: Distinguish between relevant and irrelevant costs

10) When managers make decisions, the accountant is seen as the technical expert on financial analysis.

Answer: TRUE

Diff: 1

LO: 5-1

AACSB: Reflective thinking skills

Learning Outcome: Distinguish between relevant and irrelevant costs

## 5.2 Questions

1) When managers make decisions, the decision process used has the following steps in the order of occurrence:

- A) Historical and Other Information, Prediction Model, Prediction, Decision Model, Decision, Implementation, Feedback
- B) Historical and Other Information, Decision Model, Prediction Method, Implementation, Decision, Feedback
- C) Historical and Other Information, Decision Model, Prediction Method, Decision, Implementation, Feedback
- D) Historical and Other Information, Prediction Method, Prediction, Decision Model, Decision, Implementation, Feedback

Answer: D

Diff: 2

LO: 5-2

AACSB: Reflective thinking skills

Learning Outcome: Distinguish between relevant and irrelevant costs

2) When managers use the decision process to make decisions, which information is used to make predictions about the amount of expected sales for Product XYZ?

- A) historical data from the accounting system only
- B) data outside the accounting system only
- C) data outside the organization only
- D) A and B

Answer: D

Diff: 1

LO: 5-2

AACSB: Reflective thinking skills

Learning Outcome: Distinguish between relevant and irrelevant costs

3) A manager is trying to decide which product to emphasize in promotion and advertising efforts. Following the decision process used by managers, predictions about the amounts of future sales of the two products are used as input to the \_\_\_\_\_.

- A) prediction model
- B) prediction method
- C) decision model
- D) evaluation model

Answer: C

Diff: 2

LO: 5-2

AACSB: Reflective thinking skills

Learning Outcome: Distinguish between relevant and irrelevant costs

4) When managers use the decision process to make decisions, what is the output after using the prediction method?

- A) decision
- B) implementation
- C) predictions
- D) evaluation

Answer: C

Diff: 2

LO: 5-2

AACSB: Reflective thinking skills

Learning Outcome: Distinguish between relevant and irrelevant costs

5) If perfectly accurate and relevant information is not available for decision making, the accountant should consider using information that is \_\_\_\_\_.

- A) precise but irrelevant
- B) imprecise but irrelevant
- C) imprecise but relevant
- D) imprecise but timely

Answer: C

Diff: 1

LO: 5-2

AACSB: Analytic skills

Learning Outcome: Distinguish between relevant and irrelevant costs

6) In determining whether to purchase a labor-saving machine, extreme resistance to the machine by employees would be a(n) \_\_\_\_\_.

- A) relevant qualitative factor
- B) relevant quantitative factor
- C) irrelevant qualitative factor
- D) irrelevant quantitative factor

Answer: A

Diff: 2

LO: 5-2

AACSB: Analytic skills

Learning Outcome: Distinguish between relevant and irrelevant costs

7) In considering whether to produce a single product, the associated direct materials and direct labor costs would probably be \_\_\_\_\_.

- A) relevant qualitative factors
- B) relevant quantitative factors
- C) irrelevant qualitative factors
- D) irrelevant quantitative factors

Answer: B

Diff: 2

LO: 5-2

AACSB: Analytic skills

Learning Outcome: Distinguish between relevant and irrelevant costs

8) In decision making situations, \_\_\_\_\_ aspects may dominate quantitative aspects in many decisions.

- A) relevant
- B) precision
- C) accuracy
- D) qualitative

Answer: D

Diff: 2

LO: 5-2

AACSB: Reflective thinking skills

Learning Outcome: Distinguish between relevant and irrelevant costs

9) What are the qualitative aspects of a decision?

A) those which are not relevant to a decision

B) those with a concrete dollar amount

C) those for which measurement in dollars and cents is difficult and imprecise

D) those which are always relevant to a decision

Answer: C

Diff: 2

LO: 5-2

AACSB: Analytic skills

Learning Outcome: Distinguish between relevant and irrelevant costs

10) Which of the following statements is FALSE about information used for decision making?

A) Precise but irrelevant information is worthless for decision making.

B) Imprecise but relevant information can be useful for decision making.

C) Relevant information must be reasonably accurate but not precisely so.

D) Relevant information must be totally accurate or it is useless.

Answer: D

Diff: 2

LO: 5-2

AACSB: Analytic skills

Learning Outcome: Distinguish between relevant and irrelevant costs

11) Precise but irrelevant information is worthless for decision making.

Answer: TRUE

Diff: 2

LO: 5-2

AACSB: Reflective thinking skills

Learning Outcome: Distinguish between relevant and irrelevant costs

12) The degree to which information is relevant or precise often depends on the degree to which it is qualitative or quantitative.

Answer: TRUE

Diff: 2

LO: 5-2

AACSB: Reflective thinking skills

Learning Outcome: Distinguish between relevant and irrelevant costs

13) Accountants are sometimes forced to trade relevant information for accurate information.

Answer: TRUE

Diff: 2

LO: 5-2

AACSB: Reflective thinking skills

Learning Outcome: Distinguish between relevant and irrelevant costs

14) Imprecise but relevant information can be useful.

Answer: TRUE

Diff: 2

LO: 5-2

AACSB: Reflective thinking skills

Learning Outcome: Distinguish between relevant and irrelevant costs

15) Qualitative aspects of information are those for which measurement in dollars and cents is easy and precise.

Answer: FALSE

Diff: 2

LO: 5-2

AACSB: Reflective thinking skills

Learning Outcome: Distinguish between relevant and irrelevant costs

16) Qualitative aspects of information can carry more weight than quantitative aspects in a business decision.

Answer: TRUE

Diff: 2

LO: 5-2

AACSB: Reflective thinking skills

Learning Outcome: Distinguish between relevant and irrelevant costs

### 5.3 Questions

1) For internal decision-making purposes, many companies use the income statement using the \_\_\_\_\_ approach. For external reporting, most companies use the income statement using the \_\_\_\_\_ approach.

A) absorption; absorption

B) absorption; contribution

C) contribution; absorption

D) full costing; variable costing

Answer: C

Diff: 1

LO: 5-3

AACSB: Reflective thinking skills

Learning Outcome: Define basic managerial accounting concepts and prepare an income statement for different types of organizations

2) It is misleading to use the absorption costing income statement to predict the effect of changes in sales volume because \_\_\_\_\_.

- A) variable production costs per unit do not change with small changes in sales volume
- B) total fixed production costs do not change with small changes in sales volume
- C) fixed production costs per unit do not change with small changes in sales volume
- D) total variable production costs do not change with small changes in sales volume

Answer: B

Diff: 3

LO: 5-3

AACSB: Reflective thinking skills

Learning Outcome: Define basic managerial accounting concepts and prepare an income statement for different types of organizations

3) Variable selling expenses affect the calculation of \_\_\_\_\_ on the contribution income statement. Variable selling expenses do NOT affect the calculation of \_\_\_\_\_ on the absorption income statement.

- A) gross margin; contribution margin
- B) operating income; contribution margin
- C) contribution margin; gross margin
- D) gross margin; operating income

Answer: C

Diff: 2

LO: 5-3

AACSB: Reflective thinking skills

Learning Outcome: Define basic managerial accounting concepts and prepare an income statement for different types of organizations

4) Fixed selling expenses affect the calculation of \_\_\_\_\_ on the contribution income statement.

Fixed selling expenses do NOT affect the calculation of \_\_\_\_\_ on the absorption income statement.

- A) contribution margin; gross margin
- B) gross margin; contribution margin
- C) operating income; gross margin
- D) operating income; contribution margin

Answer: C

Diff: 2

LO: 5-3

AACSB: Reflective thinking skills

Learning Outcome: Define basic managerial accounting concepts and prepare an income statement for different types of organizations

5) Fixed indirect production costs affect the calculation of \_\_\_\_\_ on the absorption income statement. Fixed indirect production costs do NOT affect the calculation of \_\_\_\_\_ on the contribution income statement.

- A) contribution margin; gross margin
- B) gross margin; contribution margin
- C) operating income; gross margin
- D) contribution margin; operating income

Answer: B

Diff: 2

LO: 5-3

AACSB: Reflective thinking skills

Learning Outcome: Define basic managerial accounting concepts and prepare an income statement for different types of organizations

6) Variable administrative expenses affect the calculation of \_\_\_\_\_ on the contribution income statement. Variable administrative expenses do NOT affect the calculation of \_\_\_\_\_ on the absorption income statement.

- A) gross margin; contribution margin
- B) contribution margin; gross margin
- C) operating income; contribution margin
- D) gross margin; operating income

Answer: B

Diff: 2

LO: 5-3

AACSB: Reflective thinking skills

Learning Outcome: Define basic managerial accounting concepts and prepare an income statement for different types of organizations

7) Under absorption costing, all \_\_\_\_\_ costs are product or inventoriable costs.

- A) indirect production
- B) direct and indirect production
- C) direct production
- D) selling and administrative

Answer: B

Diff: 1

LO: 5-3

AACSB: Reflective thinking skills

Learning Outcome: Define basic managerial accounting concepts and prepare an income statement for different types of organizations

8) Under the contribution approach to the income statement, the difference between sales and \_\_\_\_\_ is contribution margin.

- A) cost of goods sold
- B) manufacturing costs
- C) all variable expenses
- D) all fixed expenses

Answer: C

Diff: 2

LO: 5-3

AACSB: Analytic skills

Learning Outcome: Define basic managerial accounting concepts and prepare an income statement for different types of organizations

9) The contribution approach to the income statement emphasizes the distinction between \_\_\_\_\_.

- A) value chain functions
- B) different functional areas in a firm
- C) different business segments
- D) variable and fixed costs

Answer: D

Diff: 1

LO: 5-3

AACSB: Analytic skills

Learning Outcome: Define basic managerial accounting concepts and prepare an income statement for different types of organizations

10) Using absorption costing, the primary classifications of costs on the income statement are by \_\_\_\_\_.

- A) cost behavior patterns
- B) manufacturing departments
- C) major management functions
- D) manufacturing segments

Answer: C

Diff: 2

LO: 5-3

AACSB: Reflective thinking skills

Learning Outcome: Define basic managerial accounting concepts and prepare an income statement for different types of organizations

11) Santana Company has no beginning and ending inventories, and reports the following information for its only product:

|                                     |           |
|-------------------------------------|-----------|
| Direct materials used               | \$250,000 |
| Direct labor                        | \$120,000 |
| Fixed indirect manufacturing        | \$60,000  |
| Variable indirect manufacturing     | \$20,000  |
| Variable selling and administrative | \$50,000  |
| Fixed selling and administrative    | \$10,000  |
| Units produced and sold             | 40,000    |

Santana Company uses the absorption approach to prepare the income statement. What is the product cost per unit?

- A) \$11.00
- B) \$11.25
- C) \$12.00
- D) \$12.75

Answer: B

Diff: 2

LO: 5-3

AACSB: Analytic skills

Learning Outcome: Define basic managerial accounting concepts and prepare an income statement for different types of organizations

12) Camile Company has no beginning and ending inventories, and reports the following data about its only product:

|                                     |           |
|-------------------------------------|-----------|
| Direct materials used               | \$100,000 |
| Direct labor                        | \$80,000  |
| Fixed indirect manufacturing        | \$50,000  |
| Fixed selling and administrative    | \$220,000 |
| Variable indirect manufacturing     | \$20,000  |
| Variable selling and administrative | \$75,000  |
| Selling price(per unit)             | \$84      |
| Units produced and sold             | 10,000    |

Camile Company uses the absorption approach to prepare the income statement. What is the product cost per unit?

- A) \$20
- B) \$25
- C) \$27.50
- D) \$32.50

Answer: B

Diff: 2

LO: 5-3

AACSB: Analytic skills

Learning Outcome: Define basic managerial accounting concepts and prepare an income statement for different types of organizations

13) The contribution approach to the income statement offers several benefits to decision makers. Which of the following is NOT a benefit of this approach?

- A) This approach makes it easier to understand the impact of changes in sales volume on operating income.
- B) This approach stresses the role of fixed costs in operating income.
- C) This approach is used with CVP analysis.
- D) This approach is accepted by U.S. Generally Accepted Accounting Principles.

Answer: D

Diff: 2

LO: 5-3

AACSB: Analytic skills

Learning Outcome: Define basic managerial accounting concepts and prepare an income statement for different types of organizations

14) Sanchez Company has no beginning and ending inventories, and reports the following data about its only product:

|                                     |           |
|-------------------------------------|-----------|
| Direct materials used               | \$100,000 |
| Direct labor                        | \$80,000  |
| Fixed indirect manufacturing        | \$100,000 |
| Fixed selling and administrative    | \$170,000 |
| Variable indirect manufacturing     | \$20,000  |
| Variable selling and administrative | \$90,000  |
| Selling price(per unit)             | \$100     |
| Units produced and sold             | 12,000    |

Sanchez Company uses the absorption approach to prepare the income statement. What is the manufacturing cost of goods sold?

- A) \$270,000
- B) \$300,000
- C) \$390,000
- D) \$500,000

Answer: B

Diff: 2

LO: 5-3

AACSB: Analytic skills

Learning Outcome: Define basic managerial accounting concepts and prepare an income statement for different types of organizations

15) Gonzalez Company has no beginning and ending inventories, and reports the following data about its only product:

|                                     |           |
|-------------------------------------|-----------|
| Direct materials used               | \$300,000 |
| Direct labor                        | \$80,000  |
| Fixed indirect manufacturing        | \$100,000 |
| Fixed selling and administrative    | \$190,000 |
| Variable indirect manufacturing     | \$20,000  |
| Variable selling and administrative | \$90,000  |
| Selling price(per unit)             | \$50      |
| Units produced and sold             | 10,000    |

Gonzalez Company uses the absorption approach to prepare the income statement. What is the gross margin?

- A) \$0
- B) \$20,000
- C) \$100,000
- D) \$120,000

Answer: A

Diff: 2

LO: 5-3

AACSB: Analytic skills

Learning Outcome: Define basic managerial accounting concepts and prepare an income statement for different types of organizations

16) When absorption costing is used for the income statement, the difference between sales and \_\_\_\_\_ is gross margin.

- A) manufacturing cost of goods sold
- B) selling expenses
- C) selling and administrative expenses
- D) variable expenses

Answer: A

Diff: 2

LO: 5-3

AACSB: Analytic skills

Learning Outcome: Define basic managerial accounting concepts and prepare an income statement for different types of organizations

17) Garcia Company has no beginning and ending inventories, and reports the following data about its only product:

|                                     |           |
|-------------------------------------|-----------|
| Direct materials used               | \$270,000 |
| Direct labor                        | \$180,000 |
| Fixed indirect manufacturing        | \$130,000 |
| Fixed selling and administrative    | \$150,000 |
| Variable indirect manufacturing     | \$120,000 |
| Variable selling and administrative | \$60,000  |
| Selling price(per unit)             | \$99      |
| Units produced and sold             | 30,000    |

Garcia Company uses the absorption approach to prepare the income statement. What is the operating income?

- A) \$2,060,000
- B) \$2,120,000
- C) \$2,240,000
- D) \$2,970,000

Answer: A

Diff: 2

LO: 5-3

AACSB: Analytic skills

Learning Outcome: Define basic managerial accounting concepts and prepare an income statement for different types of organizations

18) Gomez Company has no beginning and ending inventories, and reports the following data about its only product:

|                                     |           |
|-------------------------------------|-----------|
| Direct materials used               | \$470,000 |
| Direct labor                        | \$180,000 |
| Fixed indirect manufacturing        | \$130,000 |
| Fixed selling and administrative    | \$150,000 |
| Variable indirect manufacturing     | \$120,000 |
| Variable selling and administrative | \$60,000  |
| Selling price(per unit)             | \$100     |
| Units produced and sold             | 30,000    |

Gomez Company uses the contribution approach to prepare the income statement. What is the operating income?

- A) \$1,890,000
- B) \$2,100,000
- C) \$2,190,000
- D) \$2,250,000

Answer: A

Diff: 2

LO: 5-3

AACSB: Analytic skills

Learning Outcome: Define basic managerial accounting concepts and prepare an income statement for different types of organizations

19) Under absorption costing, fixed manufacturing costs are used to calculate \_\_\_\_\_ on the income statement.

- A) contribution margin
- B) manufacturing cost of goods sold
- C) total variable costs
- D) total fixed costs

Answer: B

Diff: 3

LO: 5-3

AACSB: Analytic skills

Learning Outcome: Define basic managerial accounting concepts and prepare an income statement for different types of organizations

20) The \_\_\_\_\_ approach is useful for short-run pricing decisions and the \_\_\_\_\_ approach is useful for long-run pricing decisions.

- A) contribution; absorption
- B) absorption; contribution
- C) full costing; target costing
- D) full costing; contribution

Answer: A

Diff: 1

LO: 5-3

AACSB: Analytic skills

Learning Outcome: Define basic managerial accounting concepts and prepare an income statement for different types of organizations

21) On the income statement, the absorption approach separates manufacturing costs from \_\_\_\_\_.

- A) some nonmanufacturing costs
- B) all nonmanufacturing costs
- C) all variable costs
- D) all fixed costs

Answer: B

Diff: 2

LO: 5-3

AACSB: Analytic skills

Learning Outcome: Define basic managerial accounting concepts and prepare an income statement for different types of organizations

22) Winter Company has no beginning and ending inventories, and reports the following data about its only product:

|                                     |           |
|-------------------------------------|-----------|
| Direct materials used               | \$200,000 |
| Direct labor                        | \$80,000  |
| Fixed indirect manufacturing        | \$100,000 |
| Fixed selling and administrative    | \$300,000 |
| Variable indirect manufacturing     | \$20,000  |
| Variable selling and administrative | \$60,000  |
| Selling price(per unit)             | \$150     |
| Units produced and sold             | 10,000    |

Winter Company uses the absorption approach to prepare the income statement. What is the gross margin?

- A) \$740,000
- B) \$1,040,000
- C) \$1,100,000
- D) \$1,160,000

Answer: C

Diff: 2

LO: 5-3

AACSB: Analytic skills

Learning Outcome: Define basic managerial accounting concepts and prepare an income statement for different types of organizations

23) Latinovich Company has no beginning and ending inventories, and reports the following data about its only product:

|                                     |           |
|-------------------------------------|-----------|
| Direct materials used               | \$200,000 |
| Direct labor                        | \$80,000  |
| Fixed indirect manufacturing        | \$180,000 |
| Fixed selling and administrative    | \$150,000 |
| Variable indirect manufacturing     | \$130,000 |
| Variable selling and administrative | \$160,000 |
| Selling price(per unit)             | \$150     |
| Units produced and sold             | 10,000    |

Latinovich Company uses the contribution approach to prepare the income statement. What is the contribution margin?

- A) \$600,000
- B) \$910,000
- C) \$930,000
- D) \$1,090,000

Answer: C

Diff: 2

LO: 5-3

AACSB: Analytic skills

Learning Outcome: Define basic managerial accounting concepts and prepare an income statement for different types of organizations

24) Zeman Company has no beginning and ending inventories, and reports the following data about its only product:

|                                     |           |
|-------------------------------------|-----------|
| Direct materials used               | \$200,000 |
| Direct labor                        | \$180,000 |
| Fixed indirect manufacturing        | \$100,000 |
| Fixed selling and administrative    | \$150,000 |
| Variable indirect manufacturing     | \$120,000 |
| Variable selling and administrative | \$60,000  |
| Selling price(per unit)             | \$75      |
| Units produced and sold             | 10,000    |

Zeman Company uses the contribution approach to prepare the income statement. What is the contribution margin?

- A) \$150,000
- B) \$190,000
- C) \$250,000
- D) \$370,000

Answer: B

Diff: 2

LO: 5-3

AACSB: Analytic skills

Learning Outcome: Define basic managerial accounting concepts and prepare an income statement for different types of organizations

25) Schaefer Company has no beginning and ending inventories, and reports the following data about its only product:

|                                     |           |
|-------------------------------------|-----------|
| Direct materials used               | \$200,000 |
| Direct labor                        | \$80,000  |
| Fixed indirect manufacturing        | \$100,000 |
| Fixed selling and administrative    | \$150,000 |
| Variable indirect manufacturing     | \$20,000  |
| Variable selling and administrative | \$60,000  |
| Selling price(per unit)             | \$50      |
| Units produced and sold             | 10,000    |

Schaefer Company uses the contribution approach to prepare the income statement. What is the contribution margin?

- A) \$100,000
- B) \$140,000
- C) \$200,000
- D) \$220,000

Answer: B

Diff: 2

LO: 5-3

AACSB: Analytic skills

Learning Outcome: Define basic managerial accounting concepts and prepare an income statement for different types of organizations

26) The absorption costing approach to the income statement is used by companies for external financial reporting.

Answer: TRUE

Diff: 2

LO: 5-3

AACSB: Reflective thinking skills

Learning Outcome: Define basic managerial accounting concepts and prepare an income statement for different types of organizations

27) The absorption approach to the income statement emphasizes the distinction between fixed and variable costs.

Answer: FALSE

Diff: 2

LO: 5-3

AACSB: Reflective thinking skills

Learning Outcome: Define basic managerial accounting concepts and prepare an income statement for different types of organizations

28) On the income statement, the contribution margin is computed using variable manufacturing costs and variable selling and administrative costs.

Answer: TRUE

Diff: 2

LO: 5-3

AACSB: Reflective thinking skills

Learning Outcome: Define basic managerial accounting concepts and prepare an income statement for different types of organizations

29) Whitney Company has just completed its first year of operations. The company's accountant has prepared an absorption costing income statement for the year as seen below:

|                                                                 |          |                 |
|-----------------------------------------------------------------|----------|-----------------|
| Sales (35,000 units at \$25)                                    |          | \$875,000       |
| Beginning Inventory                                             | 0        |                 |
| Cost of Goods Manufactured ( $35,000 \times \$12$ ) + \$160,000 | =        | <u>580,000</u>  |
| Cost of Goods Available                                         | 580,000  |                 |
| Ending Inventory                                                | <u>0</u> |                 |
| Cost of Goods Sold                                              |          | <u>580,000</u>  |
| Gross Margin                                                    |          | 295,000         |
| Selling and Administrative Expenses                             |          | <u>280,000</u>  |
| Net Income                                                      |          | <u>\$15,000</u> |

The variable production costs per unit are determined as follows:

|                                 |             |
|---------------------------------|-------------|
| Direct materials                | \$5         |
| Direct labor                    | 6           |
| Variable production             | <u>1</u>    |
| Total variable production costs | <u>\$12</u> |

The company's fixed production costs are \$160,000 per year. The company's selling and administrative expenses consist of \$210,000 per year in fixed expenses and \$2 per unit in variable expenses.

Required:

Prepare the company's income statement in the contribution format.

|                                                    |                |                 |
|----------------------------------------------------|----------------|-----------------|
| Answer: Sales                                      |                | \$875,000       |
| Variable Expenses:                                 |                |                 |
| Production Costs ( $35,000 \times \$12$ )          | \$420,000      |                 |
| Selling and Administrative ( $35,000 \times \$2$ ) | <u>70,000</u>  |                 |
| Total Variable Expenses                            |                | <u>490,000</u>  |
| Contribution Margin                                |                | 385,000         |
| Fixed Expenses:                                    |                |                 |
| Production Costs                                   | 160,000        |                 |
| Selling and Administrative                         | <u>210,000</u> |                 |
| Total Fixed Expenses                               |                | <u>370,000</u>  |
| Net Income                                         |                | <u>\$15,000</u> |

Diff: 3

LO: 5-3

AACSB: Analytic skills

Learning Outcome: Define basic managerial accounting concepts and prepare an income statement for different types of organizations

30) Stewart Company has no beginning and ending inventories, and reports the following information about its only product:

|                                              |          |
|----------------------------------------------|----------|
| Direct materials used                        | \$29,000 |
| Direct labor                                 | \$17,000 |
| Variable indirect production                 | \$13,000 |
| Fixed indirect production                    | \$18,000 |
| Variable selling and administrative expenses | \$22,000 |
| Fixed selling and administrative expenses    | \$11,000 |
| Units produced and sold                      | 10,000   |
| Selling price per unit                       | \$25     |

Required:

- A) Prepare an income statement using the contribution approach.
- B) Prepare an income statement using the absorption approach.

Answer:

A)

|                       |           |
|-----------------------|-----------|
| Sales (10,000 × \$25) | \$250,000 |
|-----------------------|-----------|

Variable expenses:

|                                           |               |               |
|-------------------------------------------|---------------|---------------|
| Direct materials                          | \$29,000      |               |
| Direct labor                              | 17,000        |               |
| Variable indirect production              | <u>13,000</u> |               |
| Variable manufacturing cost of goods sold | 59,000        |               |
| Variable selling and admin. expenses      | <u>22,000</u> |               |
| Total variable expenses                   |               | <u>81,000</u> |
| Contribution margin                       |               | 169,000       |

Fixed expenses:

|                      |               |                  |
|----------------------|---------------|------------------|
| Indirect production  | 18,000        |                  |
| Selling and admin.   | <u>11,000</u> |                  |
| Total fixed expenses |               | <u>29,000</u>    |
| Operating income     |               | <u>\$140,000</u> |

B)

|       |           |
|-------|-----------|
| Sales | \$250,000 |
|-------|-----------|

Manufacturing cost of goods sold:

|                                     |                  |
|-------------------------------------|------------------|
| Direct materials                    | \$29,000         |
| Direct labor                        | 17,000           |
| Variable indirect production        | 13,000           |
| Fixed indirect production           | <u>18,000</u>    |
| Manufacturing cost of goods sold    | 77,000           |
| Gross margin                        | 173,000          |
| Selling and administrative expenses | <u>33,000</u>    |
| Operating income                    | <u>\$140,000</u> |

Diff: 2

LO: 5-3

AACSB: Analytic skills

Learning Outcome: Define basic managerial accounting concepts and prepare an income statement for different types of organizations

31) Margaret Company has been producing and selling 100,000 units per year. They have excess capacity, and there are no beginning and ending inventories. The following budget was prepared for the next year:

|                                              |          |
|----------------------------------------------|----------|
| Selling price per unit                       | \$11.00  |
| Direct materials per unit                    | \$5.00   |
| Direct labor per unit                        | \$3.00   |
| Variable manufacturing overhead per unit     | \$1.00   |
| Variable selling and administrative per unit | \$0.25   |
| Total fixed manufacturing overhead costs     | \$50,000 |
| Total fixed selling and administrative       | \$15,000 |

Required:

- Prepare an income statement using the contribution approach.
- Prepare an income statement using the absorption approach.

Answer:

A)

|                                           |                |                  |
|-------------------------------------------|----------------|------------------|
| Sales (100,000 × \$11.00)                 |                | \$1,100,000      |
| <u>Variable expenses:</u>                 |                |                  |
| Direct materials                          | 500,000        |                  |
| Direct labor                              | 300,000        |                  |
| Variable overhead                         | <u>100,000</u> |                  |
| Variable manufacturing cost of goods sold | 900,000        |                  |
| Variable selling and admin. expense       | <u>25,000</u>  |                  |
| Total variable expenses                   |                | <u>925,000</u>   |
| Contribution margin                       |                | 175,000          |
| <u>Fixed expenses:</u>                    |                |                  |
| Manufacturing                             | 50,000         |                  |
| Selling and admin. expense                | <u>15,000</u>  |                  |
| Total fixed expenses                      |                | <u>65,000</u>    |
| Operating income                          |                | <u>\$110,000</u> |

B)

|                                    |                  |
|------------------------------------|------------------|
| Sales                              | \$1,100,000      |
| Manufacturing cost of goods sold:  |                  |
| Direct materials                   | \$500,000        |
| Direct labor                       | 300,000          |
| Variable overhead                  | 100,000          |
| Fixed overhead                     | <u>50,000</u>    |
| Manufacturing cost of goods sold   | 950,000          |
| Gross margin                       | 150,000          |
| Selling and administrative expense | <u>40,000</u>    |
| Operating income                   | <u>\$110,000</u> |

Diff: 2

LO: 5-3

AACSB: Analytic skills

Learning Outcome: Define basic managerial accounting concepts and prepare an income statement for different types of organizations

## 5.4 Questions

1) When evaluating short-term special order decisions, which of the following types of income statements should be used?

- method used for external reporting
- method that follows U.S. Generally Accepted Accounting Principles

- C) absorption approach
- D) contribution approach

Answer: D

Diff: 1

LO: 5-4

AACSB: Reflective thinking skills

Learning Outcome: Distinguish between relevant and irrelevant costs

2) In special order situations, unit costs are useful for predicting total \_\_\_\_\_. In special order situations, unit costs are not useful for predicting total \_\_\_\_\_.

- A) mixed costs; step costs
- B) step costs; mixed costs
- C) variable costs; fixed costs
- D) fixed costs; variable costs

Answer: C

Diff: 2

LO: 5-4

AACSB: Reflective thinking skills

Learning Outcome: Distinguish between relevant and irrelevant costs

3) Franklin Company uses activity-based costing, and normally produces 1,000,000 units per month. At this level of production, the costs per unit are as follows:

|                              |      |
|------------------------------|------|
| Direct materials used        | \$14 |
| Direct labor                 | \$6  |
| Variable indirect production | \$1  |
| Setup costs                  | \$3  |

For 1,000,000 units, 500 setups are required at a cost of \$6,000 per setup. The company has received a special order for 100,000 units at \$22 per unit. The company has excess capacity. The company estimates that 5 setups will be required for the special order. What is the cost of the special order?

- A) \$2,100,000
- B) \$2,130,000
- C) \$2,400,000
- D) \$2, 430,000

Answer: B

Diff: 3

LO: 5-4

AACSB: Analytic skills

Learning Outcome: Distinguish between relevant and irrelevant costs

4) Oak Creek Company uses activity-based costing, and normally produces 1,000,000 units per month. At this level of production, the costs per unit are as follows:

|                              |      |
|------------------------------|------|
| Direct materials used        | \$15 |
| Direct labor                 | \$6  |
| Variable indirect production | \$1  |
| Setup costs                  | \$5  |

For 1,000,000 units, 500 setups are required at a cost of \$10,000 per setup. The company has received a special order for 100,000 units at \$22 per unit. The company has excess capacity. The company estimates that 5 setups will be required for the special order. Variable selling costs of \$1 per unit will also be incurred for the special order. What is the cost of the special order?

- A) \$2,300,000
- B) \$2,350,000
- C) \$2,700,000
- D) \$2,800,000

Answer: B

Diff: 3

LO: 5-4

AACSB: Analytic skills

Learning Outcome: Distinguish between relevant and irrelevant costs

5) Which of the following items is usually NOT important to special order decisions?

- A) affect of special order on regular business
- B) whether idle capacity is available
- C) total fixed costs
- D) increase in variable costs per unit due to special order

Answer: C

Diff: 2

LO: 5-4

AACSB: Reflective thinking skills

Learning Outcome: Distinguish between relevant and irrelevant costs

6) Missouri Company has a current production capacity level of 200,000 units per month. At this level of production, variable costs are \$0.60 per unit and fixed costs are \$0.50 per unit. Current monthly sales are 173,000 units. Gates Company has contacted Missouri Company about purchasing 20,000 units at \$1.00 each. Current sales would not be affected by the special order and no additional fixed costs would be incurred on the special order. If the order is accepted, what is Missouri Company's change in profits?

- A) \$8,000 increase
- B) \$8,000 decrease
- C) \$10,000 increase
- D) \$10,000 decrease

Answer: A

Diff: 2

LO: 5-4

AACSB: Analytic skills

Learning Outcome: Distinguish between relevant and irrelevant costs

7) Wisconsin Company has a current production capacity level of 200,000 units per month. At this level of production, variable costs are \$1.00 per unit and fixed costs are \$0.50 per unit. Current monthly sales are 164,500 units. Gates Company has contacted Wisconsin Company about purchasing 20,000 units at \$2.00 each. Current sales would not be affected by the special order and no additional fixed costs would be incurred on the special order. Variable costs would increase \$0.10 per unit with the special order. If the order is accepted,

what is Wisconsin Company's increase in operating income?

- A) \$8,000
- B) \$18,000
- C) \$20,000
- D) \$24,000

Answer: B

Diff: 2

LO: 5-4

AACSB: Analytic skills

Learning Outcome: Distinguish between relevant and irrelevant costs

8) Each month Fig Company produces 11,000 units of a product that sells for \$18 per unit, and has variable costs of \$12 per unit. Total fixed costs for the month are \$77,000. A special order is received for 5,000 units at a price of \$14 per unit. Fig Company has adequate capacity for the special order. If Fig Company accepts the special order, what is the profit to Fig Company from the special order?

- A) \$0
- B) \$10,000
- C) \$22,000
- D) \$99,000

Answer: B

Diff: 2

LO: 5-4

AACSB: Analytic skills

Learning Outcome: Distinguish between relevant and irrelevant costs

9) Each month Newton Company produces 30,000 units of a product that has variable costs of \$70 per unit. Total fixed costs for the month are \$99,000. A special order is received for 1,000 units at a price of \$80 per unit. Newton Company has adequate capacity for the special order. If Newton Company accepts the special order, what is the profit to Newton Company from the special order?

- A) \$0
- B) \$6,700
- C) \$7,000
- D) \$10,000

Answer: D

Diff: 2

LO: 5-4

AACSB: Analytic skills

Learning Outcome: Distinguish between relevant and irrelevant costs

10) Minnesota Company has no beginning and ending inventories, and has the following data about its only product:

|                                           |             |
|-------------------------------------------|-------------|
| Fixed manufacturing costs                 | \$92,000    |
| Fixed selling and administrative costs    | \$69,000    |
| Variable manufacturing costs              | \$1,030,000 |
| Variable selling and administrative costs | \$120,000   |
| Selling price(per unit)                   | \$125       |

Units produced and sold 23,000

Assume there is excess capacity. The company has received a special order for 1,000 units at \$60.00 per unit. If the special order is accepted, what will be the effect on net income?

- A) net income increases by \$3,000
- B) net income increases by \$6,000
- C) net income increases by \$10,000
- D) net income increases by \$15,220

Answer: C

Diff: 2

LO: 5-4

AACSB: Analytic skills

Learning Outcome: Distinguish between relevant and irrelevant costs

11) Dakota Company has been producing and selling 42,000 hats a year. There are no beginning and ending inventories. The Dakota Corporation has the capacity to produce 52,000 hats. The following data is available:

|                                                    |      |
|----------------------------------------------------|------|
| Selling price per unit                             | \$30 |
| Variable manufacturing costs per unit              | \$13 |
| Variable selling and administrative costs per unit | \$7  |

|                                              |           |
|----------------------------------------------|-----------|
| Total fixed manufacturing costs              | \$126,000 |
| Total fixed selling and administrative costs | \$84,000  |

If a special order is accepted for 10,000 hats at a price of \$25 per unit, net income would

- \_\_\_\_\_.
- A) increase by \$20,000
  - B) increase by \$50,000
  - C) increase by \$90,000
  - D) decrease by \$24,000

Answer: B

Diff: 2

LO: 5-4

AACSB: Analytic skills

Learning Outcome: Distinguish between relevant and irrelevant costs

12) Arkansas Company has no beginning and ending inventories, and has obtained the following data for its only product:

|                                              |           |
|----------------------------------------------|-----------|
| Selling price per unit                       | \$65      |
| Direct materials used                        | \$150,000 |
| Direct labor                                 | \$225,000 |
| Variable factory overhead                    | \$140,000 |
| Variable selling and administrative expenses | \$60,000  |
| Fixed factory overhead                       | \$370,000 |
| Fixed selling and administrative expenses    | \$30,000  |
| Units produced and sold                      | 20,000    |

Assume there is excess capacity. There is a special order outstanding for 1,000 units at \$40.00 per unit. If Arkansas Company accepts the special order, net income would \_\_\_\_\_.

- A) increase by \$40,000
- B) increase by \$11,250
- C) decrease by \$28,750
- D) decrease by \$10,000

Answer: B

Diff: 2

LO: 5-4

AACSB: Analytic skills

Learning Outcome: Distinguish between relevant and irrelevant costs

13) Kansas Company uses activity-based costing. The company produces and sells 20,000 units at \$22 per unit. Kansas Company's product cost is calculated as follows:

|                |                     |
|----------------|---------------------|
| Variable costs | \$10 per unit       |
| Fixed costs    | \$2 per unit        |
| Setup costs    | <u>\$3 per unit</u> |
| Total costs    | \$15 per unit       |

A total of 500 setups at a cost of \$120 per setup are required to produce the 20,000 units. Kansas Company has received a special order to sell 5,000 units at \$12 per unit. Kansas Company has excess capacity available, but these 5,000 units would require 60 setups. If Kansas Company accepts the special order, what is the increase or decrease in net income?

- A) \$0
- B) decrease \$5,000
- C) decrease \$15,000
- D) increase \$2,800

Answer: D

Diff: 2

LO: 5-4

AACSB: Analytic skills

Learning Outcome: Distinguish between relevant and irrelevant costs

14) Nebraska Company uses activity-based costing. The company produces and sells 20,000 units at \$20 per unit. Nebraska Company's product cost is calculated as follows:

|                |                     |
|----------------|---------------------|
| Variable costs | \$8 per unit        |
| Fixed costs    | \$2 per unit        |
| Setup costs    | <u>\$3 per unit</u> |
| Total costs    | \$13 per unit       |

A total of 500 setups at a cost of \$120 per setup are required to produce the 20,000 units. Nebraska Company has received a special order to sell 5,000 units at \$11 per unit. Nebraska Company has excess capacity available, but these 5,000 units would require 60 setups. If Nebraska Company accepts the special order, what is Nebraska's increase in net income?

- A) increase \$5,000
- B) increase \$7,800
- C) decrease \$2,800
- D) decrease \$5,000

Answer: B

Diff: 2

LO: 5-4

AACSB: Analytic skills

Learning Outcome: Distinguish between relevant and irrelevant costs

15) A small appliance manufacturer is deciding whether to accept or reject a special order for 1,750 appliances. There is sufficient capacity available for the special order. What is relevant information for the decision whether to accept or reject the special order?

- A) the cost of the parts for the 1,750 appliances
- B) the supervisor's salary in the production area
- C) the depreciation on assembly equipment
- D) the accountant's salary

Answer: A

Diff: 2

LO: 5-4

AACSB: Analytic skills

Learning Outcome: Distinguish between relevant and irrelevant costs

16) In a special order decision, which of the following costs are usually irrelevant to the decision?

- A) variable manufacturing costs
- B) fixed manufacturing costs
- C) variable selling costs
- D) variable indirect production costs

Answer: B

Diff: 2

LO: 5-4

AACSB: Reflective thinking skills

Learning Outcome: Distinguish between relevant and irrelevant costs

17) Surly Company makes small boats. The company produces and sells 5,500 boats per year at a selling price of \$160 per boat. Surly Company has excess capacity and is trying to get special orders. A new retailer wants to purchase 1,000 boats for \$125 per boat. Surly Company is going to decline the special order because it costs \$130 to make a single boat as seen below:

|                                 |                      |
|---------------------------------|----------------------|
| Direct materials                | \$50 per unit        |
| Direct manufacturing labor      | \$55 per unit        |
| Variable manufacturing overhead | \$10 per unit        |
| Fixed manufacturing overhead    | <u>\$15</u> per unit |
| Total                           | \$130 per unit       |

Required:

A) Should Surly Company reject the special order from the new retailer? Why?

B) How much will Surly's net income increase with the special offer?

Answer:

A) No, because net income will increase with the special order.

B) The relevant cost of making a boat is:

|                                 |                      |
|---------------------------------|----------------------|
| Direct materials                | \$50 per unit        |
| Direct manufacturing labor      | \$55 per unit        |
| Variable manufacturing overhead | <u>\$10</u> per unit |
| Total cost                      | \$115 per unit       |

So, the profit on each boat will be \$10 per boat, which equals \$125 - \$115. \$10 times 1,000 boats equals \$10,000 increase in net income with the special order.

Diff: 2

LO: 5-4

AACSB: Analytic skills

Learning Outcome: Distinguish between relevant and irrelevant costs

18) Texas Company produces and sells 22,000 units of a single product. Costs associated with this level of production are as follows:

|                                 |               |
|---------------------------------|---------------|
| Direct materials                | \$15 per unit |
| Direct manufacturing labor      | \$45 per unit |
| Variable manufacturing overhead | \$25 per unit |
| Fixed manufacturing overhead    | \$40 per unit |
| Variable selling costs          | \$10 per unit |

The product normally sells for \$160 per unit. Texas Company has received a special order to sell 2,000 units at \$120 per unit. With the special order, variable selling costs will increase by \$5 per unit to \$15 per unit. Texas Company has excess production capacity.

Required:

Compute the amount by which the operating income of Texas Company would change if the special order was accepted.

Answer: Additional sales ( $2,000 \times \$120$ )    \$240,000

Variable costs:

|                                                  |                 |
|--------------------------------------------------|-----------------|
| Direct materials ( $2,000 \times \$15$ )         | \$30,000        |
| Direct labor ( $2,000 \times \$45$ )             | \$90,000        |
| Variable selling ( $2,000 \times \$15$ )         | \$30,000        |
| Variable manuf. overhead ( $2,000 \times \$25$ ) | <u>\$50,000</u> |
| Additional operating income                      | <u>\$40,000</u> |

Diff: 2

LO: 5-4

AACSB: Analytic skills

Learning Outcome: Distinguish between relevant and irrelevant costs

19) Stangle Company manufactures ties. When 28,000 ties are produced, the costs per unit are:

|                                 |        |
|---------------------------------|--------|
| Direct materials                | \$0.60 |
| Direct manufacturing labor      | \$3.00 |
| Variable manufacturing overhead | \$1.20 |
| Fixed manufacturing overhead    | \$1.60 |
| Variable selling                | \$0.80 |
| Fixed selling                   | \$1.13 |

The ties normally sell for \$22 each. The company has received a special order for 2,000 ties at \$8.00 per tie. The company will incur an additional variable selling cost of \$1.50 per unit with the special order. The company has excess capacity.

Required:

Compute the amount by which the operating income would change if the order were accepted.

Answer: Additional sales ( $2,000 \times \$8.00$ ) \$16,000

Additional expenses:

|                                                    |              |                |
|----------------------------------------------------|--------------|----------------|
| Direct materials ( $2,000 \times \$0.60$ )         | \$1,200      |                |
| Direct labor ( $2,000 \times \$3.00$ )             | 6,000        |                |
| Variable manuf. overhead ( $2,000 \times \$1.20$ ) | 2,400        |                |
| Variable selling ( $2,000 \times \$2.30$ )         | <u>4,600</u> | <u>14,200</u>  |
| Additional operating income                        |              | <u>\$1,800</u> |

Diff: 2

LO: 5-4

AACSB: Analytic skills

Learning Outcome: Distinguish between relevant and irrelevant costs

## 5.5 Questions

1) In imperfect competition, if prices have little or no effect on sales volume, demand is

- \_\_\_\_\_.
- A) stable
  - B) uniform
  - C) highly elastic
  - D) highly inelastic

Answer: D

Diff: 2

LO: 5-5

AACSB: Reflective thinking skills

Learning Outcome: None

2) In imperfect competition, firms should produce and sell units until the \_\_\_\_\_ equals the \_\_\_\_\_.

- A) average revenue; marginal cost
- B) marginal revenue; average revenue
- C) average revenue; average cost
- D) marginal revenue; marginal cost

Answer: D

Diff: 2

LO: 5-5

AACSB: Reflective thinking skills

Learning Outcome: None

3) In managerial accounting, \_\_\_\_\_ can be a reasonable approximation of marginal cost in many situations.

- A) fixed cost
- B) mixed cost
- C) step cost
- D) variable cost

Answer: D

Diff: 2

LO: 5-5

AACSB: Reflective thinking skills

Learning Outcome: None

4) In perfect competition, all firms charge the same market price. The only decision for managers is \_\_\_\_\_.

- A) how to minimize costs
- B) how to maximize average revenue
- C) how much to produce
- D) how to minimize marginal costs

Answer: C

Diff: 2

LO: 5-5

AACSB: Reflective thinking skills

Learning Outcome: None

5) \_\_\_\_\_ is the additional cost resulting from producing and selling one additional unit.

- A) Marginal cost
- B) Common cost
- C) Opportunity cost
- D) Target cost

Answer: A

Diff: 1

LO: 5-5

AACSB: Reflective thinking skills

Learning Outcome: None

- 6) Price elasticity measures the \_\_\_\_\_.  
A) effect of sales volume changes on prices  
B) effect of cost changes on prices  
C) effect of price changes on sales volume  
D) customers' attitudes toward price changes

Answer: C

Diff: 1

LO: 5-5

AACSB: Reflective thinking skills

Learning Outcome: None

- 7) In perfect competition, the profit-maximizing volume is the quantity at which \_\_\_\_\_.  
A) marginal cost equals price  
B) contribution margin equals fixed cost  
C) marginal revenue equals price  
D) price exceeds marginal cost

Answer: A

Diff: 2

LO: 5-5

AACSB: Reflective thinking skills

Learning Outcome: None

- 8) In perfect competition, additional sales will be profitable if \_\_\_\_\_.  
A) the marginal cost is less than marginal revenue  
B) sales price exceeds the variable product cost  
C) total variable cost is less than sales price  
D) the fixed cost equals the contribution margin

Answer: A

Diff: 2

LO: 5-5

AACSB: Reflective thinking skills

Learning Outcome: None

- 9) In imperfect competition, \_\_\_\_\_.  
A) a firm will produce as many units as it can sell  
B) the price a firm charges for a unit influences the quantity of units it sells  
C) a firm does not have to reduce prices to generate additional sales  
D) a firm should produce and sell units until the marginal revenue exceeds the marginal cost

Answer: B

Diff: 2

LO: 5-5

AACSB: Reflective thinking skills

Learning Outcome: None

10) If a small price increase causes large volume declines, demand is highly inelastic.

Answer: FALSE

Diff: 2

LO: 5-5

AACSB: Reflective thinking skills

Learning Outcome: None

11) Marginal cost is the additional cost resulting from producing and selling one additional unit.

Answer: TRUE

Diff: 2

LO: 5-5

AACSB: Reflective thinking skills

Learning Outcome: None

12) With perfect competition, at some point marginal costs begin to rise with increases in production because facilities become inefficient.

Answer: TRUE

Diff: 2

LO: 5-5

AACSB: Reflective thinking skills

Learning Outcome: None

13) With perfect competition, marginal revenue is the additional revenue resulting from the sale of an additional unit.

Answer: TRUE

Diff: 2

LO: 5-5

AACSB: Reflective thinking skills

Learning Outcome: None

14) In perfect competition, the marginal revenue curve is a vertical line equal to the price per unit at all volumes of sales.

Answer: FALSE

Diff: 2

LO: 5-5

AACSB: Reflective thinking skills

Learning Outcome: None

15) In perfect competition, the profit-maximizing volume is the quantity at which the difference between the sales price and marginal cost is at its greatest.

Answer: FALSE

Diff: 2

LO: 5-5

AACSB: Reflective thinking skills

Learning Outcome: None

16) In imperfect competition, a firm must decrease the sales price to generate additional sales.

Answer: TRUE

Diff: 2

LO: 5-5

AACSB: Reflective thinking skills

Learning Outcome: None

17) In imperfect competition, marginal revenue usually decreases as volume increases.

Answer: TRUE

Diff: 2

LO: 5-5

AACSB: Reflective thinking skills

Learning Outcome: None

18) In managerial accounting, variable cost is a reasonable approximation of marginal cost in many situations.

Answer: TRUE

Diff: 2

LO: 5-5

AACSB: Reflective thinking skills

Learning Outcome: None

## 5.6 Questions

1) In the long run, the selling price of a product should cover \_\_\_\_\_.

A) all variable costs only

B) all variable costs and some fixed costs

C) all fixed costs only

D) all variable costs and all fixed costs

Answer: D

Diff: 1

LO: 5-6

AACSB: Reflective thinking skills

Learning Outcome: None

2) Courts in the United States have ruled that pricing is predatory only if companies set prices below the \_\_\_\_\_.

A) average full cost

B) average variable cost

C) average production cost

D) average fixed cost

Answer: B

Diff: 1

LO: 5-6

AACSB: Reflective thinking skills

Learning Outcome: None

3) Many managers set prices by cost plus pricing. What is cost plus pricing? Assume it is a long run decision.

- A) average cost per unit plus markup per unit
- B) average target cost plus markup per unit
- C) average cost per unit minus markup per unit
- D) average target cost minus markup per unit

Answer: A

Diff: 2

LO: 5-6

AACSB: Reflective thinking skills

Learning Outcome: None

4) Predatory pricing occurs when a firm sets \_\_\_\_\_.

- A) prices below the average cost for each product
- B) prices below the production cost for each product
- C) prices below their competitors' prices
- D) prices so low that competitors are driven out of the market

Answer: D

Diff: 2

LO: 5-6

AACSB: Reflective thinking skills

Learning Outcome: None

5) Discriminatory pricing occurs when a firm sets \_\_\_\_\_.

- A) prices below their competitors' prices
- B) different prices for a product in different regions of the United States due to a cost differential in providing the product
- C) different prices for different customers for the same product or service
- D) discounts for all customers if they pay within a certain number of days after purchase

Answer: C

Diff: 2

LO: 5-6

AACSB: Reflective thinking skills

Learning Outcome: None

6) In the short run, when managers set prices for products, the minimum selling price should be equal to \_\_\_\_\_.

- A) all variable costs of producing, selling and distributing the good or service
- B) all fixed costs of producing, selling and distributing the good or service
- C) all fixed and variable costs of producing, selling, and distributing the good or service
- D) all manufacturing costs

Answer: A

Diff: 2

LO: 5-6

AACSB: Reflective thinking skills

Learning Outcome: None

7) Discriminatory pricing is the act of charging different prices to different customers for the same product or service.

Answer: TRUE

Diff: 1

LO: 5-6

AACSB: Reflective thinking skills

Learning Outcome: None

8) Pricing is not discriminatory if it reflects a cost differential incurred in providing the good or service.

Answer: TRUE

Diff: 2

LO: 5-6

AACSB: Reflective thinking skills

Learning Outcome: None

9) Overcapacity in some countries often causes aggressive pricing policies, particularly for a company's imported goods.

Answer: FALSE

Diff: 2

LO: 5-6

AACSB: Dynamics of the global economy

Learning Outcome: None

10) Markup is the amount by which cost exceeds price.

Answer: FALSE

Diff: 1

LO: 5-6

AACSB: Reflective thinking skills

Learning Outcome: None

11) In the short run, the sales price of a good or service must be high enough to cover all costs.

Answer: FALSE

Diff: 2

LO: 5-6

AACSB: Reflective thinking skills

Learning Outcome: None

## 5.7 Questions

- 1) Frequently, companies do not use a contribution approach to pricing because \_\_\_\_\_.  
A) it promotes price stability  
B) it provides the best defense for legal challenges  
C) of a fear of underpricing products by using variable costs to price products  
D) it is not sensitive to cost-volume-profit relationships

Answer: C

Diff: 1

LO: 5-7

AACSB: Reflective thinking skills

Learning Outcome: None

- 2) Which of the following is an advantage of the absorption approach to pricing products?  
A) It displays variable and fixed cost behavior patterns.  
B) It offers insights into the long run and short run effects of cutting prices on special orders.  
C) It can easily address changes in sales volume.  
D) It recovers all costs necessary for a firm to stay in business.

Answer: D

Diff: 2

LO: 5-7

AACSB: Reflective thinking skills

Learning Outcome: None

- 3) The total of all production costs plus the total of all \_\_\_\_\_ costs equals the full cost of a product.  
A) selling  
B) distribution  
C) distribution and marketing  
D) selling and administrative

Answer: D

Diff: 2

LO: 5-7

AACSB: Reflective thinking skills

Learning Outcome: None

4) Kulvekowski Company has budgeted sales of \$30,000 with the following budgeted costs:

|                                           |         |
|-------------------------------------------|---------|
| Direct materials                          | \$6,300 |
| Direct labor                              | \$4,100 |
| Variable factory overhead                 | \$3,700 |
| Fixed factory overhead                    | \$5,600 |
| Variable selling and administrative costs | \$2,400 |
| Fixed selling and administrative costs    | \$3,200 |

What is the average target markup percentage for setting prices as a percentage of total costs?

- A) 15.7%
- B) 18.6%
- C) 20.1%
- D) none of the above

Answer: B

Diff: 2

LO: 5-7

AACSB: Analytic skills

Learning Outcome: None

5) Barber Company has budgeted sales of \$30,000 with the following budgeted costs:

|                                           |         |
|-------------------------------------------|---------|
| Direct materials                          | \$6,300 |
| Direct labor                              | \$4,100 |
| Variable factory overhead                 | \$3,700 |
| Fixed factory overhead                    | \$5,600 |
| Variable selling and administrative costs | \$2,400 |
| Fixed selling and administrative costs    | \$3,200 |

What is the average target markup percentage for setting prices as a percentage of total variable costs?

- A) 45%
- B) 57%
- C) 82%
- D) none of the above

Answer: C

Diff: 2

LO: 5-7

AACSB: Analytic skills

Learning Outcome: None

6) Brankov Company has budgeted sales of \$30,000 with the following budgeted costs:

|                                           |         |
|-------------------------------------------|---------|
| Direct materials                          | \$6,300 |
| Direct labor                              | \$4,100 |
| Variable factory overhead                 | \$3,700 |
| Fixed factory overhead                    | \$5,600 |
| Variable selling and administrative costs | \$2,400 |
| Fixed selling and administrative costs    | \$3,200 |

What is the average target markup percentage for setting prices as a percentage of variable manufacturing costs?

- A) 53%
- B) 76%
- C) 113%
- D) none of the above

Answer: C

Diff: 2

LO: 5-7

AACSB: Analytic skills

Learning Outcome: None

7) Butters Company has budgeted sales of \$30,000 with the following budgeted costs:

|                                           |         |
|-------------------------------------------|---------|
| Direct materials                          | \$6,300 |
| Direct labor                              | \$4,100 |
| Variable factory overhead                 | \$3,700 |
| Fixed factory overhead                    | \$5,600 |
| Variable selling and administrative costs | \$2,400 |
| Fixed selling and administrative costs    | \$3,200 |

What is the average target markup percentage for setting prices as a percentage of total manufacturing costs?

- A) 34%
- B) 52%
- C) 61%
- D) none of the above

Answer: B

Diff: 2

LO: 5-7

AACSB: Analytic skills

Learning Outcome: None

8) Full cost means the total of all variable manufacturing costs and all fixed manufacturing costs.

Answer: FALSE

Diff: 2

LO: 5-7

AACSB: Reflective thinking skills

Learning Outcome: None

9) Full cost means the total of all manufacturing costs.

Answer: FALSE

Diff: 2

LO: 5-7

AACSB: Reflective thinking skills

Learning Outcome: None

10) Managers may use different markup rates for different categories of costs.

Answer: TRUE

Diff: 1

LO: 5-7

AACSB: Reflective thinking skills

Learning Outcome: None

11) Prices based on variable costs represent a contribution approach to pricing.

Answer: TRUE

Diff: 1

LO: 5-7

AACSB: Reflective thinking skills

Learning Outcome: None

12) The total manufacturing cost and full cost approaches to pricing often fail to highlight different cost behavior patterns.

Answer: TRUE

Diff: 2

LO: 5-7

AACSB: Reflective thinking skills

Learning Outcome: None

13) A company will bid near the minimum sales price to establish a presence in new markets or with a new customer.

Answer: TRUE

Diff: 2

LO: 5-7

AACSB: Reflective thinking skills

Learning Outcome: None

## 5.8 Questions

1) In target costing, managers design a product so that the product's cost does not exceed \_\_\_\_\_.

- A) the product's production costs
- B) the product's nonproduction costs
- C) the product's production and nonproduction costs
- D) the product's target cost

Answer: D

Diff: 2

LO: 5-8

AACSB: Reflective thinking skills

Learning Outcome: None

2) How do managers obtain the target cost for a new product under consideration? Assume the market price per unit is known and it cannot be influenced by management.

- A) the sum of all production and nonproduction costs
- B) the sum of all production costs
- C) price per unit minus gross profit per unit
- D) the sum of all variable costs

Answer: C

Diff: 2

LO: 5-8

AACSB: Reflective thinking skills

Learning Outcome: None

3) If the projected cost for a new product to be manufactured exceeds the target cost, what measures can the company undertake to reduce the projected cost?

- A) kaizen costing
- B) value engineering
- C) supplier negotiations
- D) all of the above

Answer: D

Diff: 2

LO: 5-8

AACSB: Reflective thinking skills

Learning Outcome: None

4) Management cannot influence the price of a new product. The market price is \$100 per unit. The estimated production cost is \$30 per unit. The estimated nonproduction cost is \$40 per unit. If the gross profit is 40 percent of the market price, what is the target cost of the new product?

A) \$30

B) \$40

C) \$60

D) \$70

Answer: C

Diff: 2

LO: 5-8

AACSB: Analytic skills

Learning Outcome: None

5) Michigan Company has budgeted the following costs for the production of its only product:

|                                           |                  |
|-------------------------------------------|------------------|
| Direct Materials                          | \$35,000         |
| Direct Labor                              | 25,000           |
| Variable indirect production costs        | 30,000           |
| Fixed indirect production costs           | 15,000           |
| Variable selling and administrative costs | 7,500            |
| Fixed selling and administrative costs    | <u>12,500</u>    |
| Total Costs                               | <u>\$125,000</u> |

Michigan Company wants a profit of \$50,000, and expects to produce 1,000 units. The market price is \$150 per unit. What is the target cost per unit of the product?

A) \$100 per unit

B) \$125 per unit

C) \$150 per unit

D) \$175 per unit

Answer: A

Diff: 2

LO: 5-8

AACSB: Analytic skills

Learning Outcome: None

6) Illinois Company has budgeted the following costs for the production of its only product:

|                                           |                  |
|-------------------------------------------|------------------|
| Direct Materials                          | \$35,000         |
| Direct Labor                              | 25,000           |
| Variable indirect production costs        | 30,000           |
| Fixed indirect production costs           | 15,000           |
| Variable selling and administrative costs | 7,500            |
| Fixed selling and administrative costs    | <u>12,500</u>    |
| Total Costs                               | <u>\$125,000</u> |

Illinois Company has a target profit of \$40,000. The company will produce 1,000 units. The market price is \$160 per unit. What is the target cost per unit?

- A) \$40
- B) \$120
- C) \$125
- D) \$165

Answer: B

Diff: 2

LO: 5-8

AACSB: Analytic skills

Learning Outcome: None

7) Chocolate Company is considering the production of a new product. Chocolate Company has the following data available:

|                                         |               |
|-----------------------------------------|---------------|
| Expected sales(units) over product life | 15,000        |
| Variable production costs               | \$42 per unit |
| Variable selling costs                  | \$16 per unit |
| Annual fixed production costs           | \$15,000      |
| Annual fixed selling costs              | \$5,000       |
| Research and development costs          | \$184,000     |

What is the total variable cost of the product over the product life cycle?

- A) \$204,000
- B) \$716,000
- C) \$870,000
- D) \$880,000

Answer: C

Diff: 2

LO: 5-8

AACSB: Analytic skills

Learning Outcome: None

8) Rainbow Company is considering the production of a new product. Rainbow Company has the following data available:

|                                          |               |
|------------------------------------------|---------------|
| Expected product life                    | 5 years       |
| Expected sales (units) over product life | 2,000         |
| Variable production costs                | \$42 per unit |
| Variable selling costs                   | \$16 per unit |
| Annual fixed production costs            | \$15,000      |
| Annual fixed selling costs               | \$5,000       |

What is the total fixed cost of the product over the product life cycle?

- A) \$20,000
- B) \$100,000
- C) \$116,000
- D) \$464,000

Answer: B

Diff: 2

LO: 5-8

AACSB: Analytic skills

Learning Outcome: None

9) Bunch Company is considering the production of a new product. Bunch Company has the following data available:

|                                          |               |
|------------------------------------------|---------------|
| Expected product life                    | 4 years       |
| Expected sales (units) over product life | 2,000         |
| Variable production costs                | \$42 per unit |
| Variable selling costs                   | \$16 per unit |
| Annual fixed production costs            | \$15,000      |
| Annual fixed selling costs               | \$5,000       |
| Research and development costs           | \$184,000     |

What is the total cost of the product over the product life cycle?

- A) \$116,000
- B) \$196,000
- C) \$264,000
- D) \$380,000

Answer: D

Diff: 2

LO: 5-8

AACSB: Analytic skills

Learning Outcome: None

10) Sue Company is considering the production of a new product. Sue Company has the following data available:

|                                          |                |
|------------------------------------------|----------------|
| Expected product life                    | 4 years        |
| Expected sales (units) over product life | 2,000          |
| Variable production costs                | \$42 per unit  |
| Variable selling costs                   | \$16 per unit  |
| Annual fixed production costs            | \$15,000       |
| Annual fixed selling costs               | \$5,000        |
| Research and development costs           | \$184,000      |
| Selling price                            | \$200 per unit |

What is the expected profit or (loss) of the product over the product life cycle?

- A) \$(40,000)
- B) \$20,000
- C) \$204,000
- D) \$880,000

Answer: B

Diff: 2

LO: 5-8

AACSB: Analytic skills

Learning Outcome: None

11) Target costing sets prices by computing an average cost and then adding a desired markup.

Answer: FALSE

Diff: 2

LO: 5-8

AACSB: Reflective thinking skills

Learning Outcome: None

12) Companies use cost-plus pricing for products where management actions can influence the market price.

Answer: TRUE

Diff: 2

LO: 5-8

AACSB: Reflective thinking skills

Learning Outcome: None

13) Target costing is most effective at reducing costs if used during the product design phase.

Answer: TRUE

Diff: 2

LO: 5-8

AACSB: Reflective thinking skills

Learning Outcome: None

14) Product design affects a small amount of costs in the value chain.

Answer: FALSE

Diff: 2

LO: 5-8

AACSB: Reflective thinking skills

Learning Outcome: None

15) Market focus group studies and surveys may be used by a firm to determine the price of a product or service.

Answer: TRUE

Diff: 1

LO: 5-8

AACSB: Reflective thinking skills

Learning Outcome: None

16) The difference between the gross margin and the market price is the target cost for a new product.

Answer: TRUE

Diff: 2

LO: 5-8

AACSB: Reflective thinking skills

Learning Outcome: None

17) Value engineering is used primarily during the distribution stage of the value chain.

Answer: FALSE

Diff: 2

LO: 5-8

AACSB: Reflective thinking skills

Learning Outcome: None

18) With increased global competition in many industries, companies are increasingly limited in influencing product prices.

Answer: TRUE

Diff: 2

LO: 5-8

AACSB: Dynamics of the global economy

Learning Outcome: None